

Practice Questions: Fixes & Clarifications

Ch1 – Ch3. A couple of small fixes and a few clarifications, in **red**.

This applies to the **hardcopy** you received in class.

If you use the PDFs posted on the website or Blackboard, you do not need it: the changes are already in them.

1. A small fix

Set	Correction
Ch1 · Reader Direct	In its second year, Reader Direct earns net income of \$3,000 and pays dividends of \$2,000. (Add to the scenario; needed for Retained Earnings at the end of year 2)

2. Just to be more clear

Set	Correction
Ch1 · Account Type & Statement, Q2	Cash (Drop Cash from this question)
Ch2 · Spotlighter Balance Sheet	Notes Payable (short-term) (Notes Payable → Notes Payable (short-term))
Ch3 · Revenue Recognition	All transactions occurred in September. (Add at the top of the set)
Ch3 · Deferred Revenue	All transactions occurred in September. (Add at the top of the set)
Ch3 · Expense Recognition	All transactions occurred in January. (Add at the top of the set)
Ch3 · Bills – Expense Entries	All transactions occurred in July. (Add at the top of the set)